5 tips for new investors

Investing can seem intimidating—we're here to help. Here's our beginner's guide.

Fidelity Viewpoints

Key takeaways

> Start from solid ground. To establish a solid foundation for investing, make sure you have emergency savings, have paid off any high-interest debt, and are taking advantage of any employer matching programs.
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> Determine goals. Setting goals will give your investing a purpose and provide a finish line for your hard work.
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> Learn the basics. The more you know and understand about investing and financial markets, the better suited you can be to make educated investing decisions.
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> Don't worry about starting small. Investing small amounts frequently can add up over time.
>
> Ask for help. Consider building out your investment team with professionally managed accounts.

Investing can seem intimidating if you haven't done it before, but there are great resources for beginners to get started. Here at Fidelity, we have many articles, videos, and tools to jumpstart you on your journey. Before you dive in, here are 5 helpful tips.

1. Make sure you're on solid ground financially

Before you start investing, build a solid financial foundation. We suggest that you should have some emergency savings before you start investing elsewhere. Start by setting aside $1,000. Then aim to save 3 to 6 months' worth of essential monthly expenses. Also, make sure you have paid off any high-interest debt such as credit card bills. It could be wise to take advantage of all employer matching programs for contributions to accounts like your 401(k) or HSA too.

2. Determine your goals

Setting goals will give your investing a purpose and provide a finish line for your hard work. To determine your goals, spend some time figuring out what's important to you. A goal can include everything from paying your monthly bills to buying a new car or home, or even saving more for retirement. We su Log in sically writing down your goals and placing them somewhere you regularly go during your day, so that you're reminded of what , orking toward.

Once you have your goals, try to determine the cost and timeline of each of those goals. Based on that information and your risk tolerance, you can come up with an investment strategy for each individual goal. For more resources on setting goals and keeping track of progress, visit the Fidelity Goal Booster℠.

3. Learn the basics

When you first begin, investing can seem like a new language. There's a lot to learn when it comes to securities and financial markets—but don't be intimidated. Remember that many investors started from where you are now. And people start in many different ways, from buying stocks and bonds, to contributing to a 401(k).

We suggest beginning with the basics and then working toward the more complicated topics. For example, it could be a good idea to learn the differences between stocks, mutual funds, and ETFs before diving into more complex topics such as asset allocation, diversification, and risk tolerance. Check out podcasts (such as Money Unscripted) and read books about investing. In the Fidelity Learning Center, we have educational content that explains the basics of investing. The more you know and understand about investing and financial markets, the better suited you can be to make educated investing decisions.

4. Don't worry if you're starting small

Regardless of the amount you're investing, putting your money in a position where it has growth potential may not only increase your wealth, but also help establish financial habits that can benefit you throughout your life. Plus, investing small amounts frequently can really add up over time. Mutual funds and ETFs can provide diversification, even when investing small amounts. And with fractional shares, you can invest in companies or ETFs based on how much you want to invest, not necessarily based on their share prices.

5. Don't be afraid to ask for help

With investing comes important decisions that may seem beyond your expertise. Don't be afraid to ask for help. Many investors use managed accounts to help with defining goals, understanding their current situation, and identifying key steps to move forward. Think of it as adding someone to your team.

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